

Cement

Industry Size

491.4 MT

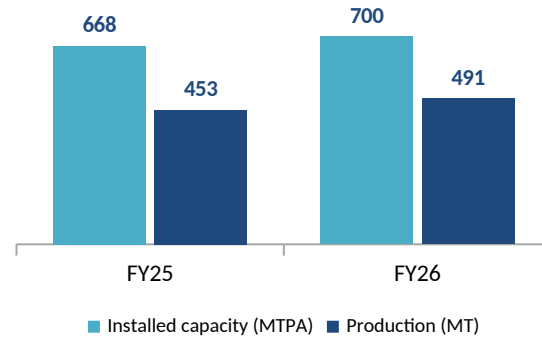
Cement production, FY26 (+8.6% YoY)

India is the **second-largest producer** after China, with over 8% of global installed capacity [\(Source\)](#)

Installed capacity is approaching **700 MTPA** against 491.4 MT of output — utilisation of roughly 70% [\(Source\)](#) [\(2\)](#)

Demand grew 6–7% to **480–485 MT**; cement averaged ₹345 a bag in FY26 [\(Source\)](#) [\(2\)](#)

Industry Growth



+8.6%
Production growth in FY26

₹900–950
EBITDA per tonne in FY26

150–160 MT
Capacity to be added between FY25 and FY28

₹1.2 lakh cr
Sector capex planned over FY26–FY28

FY25 capacity is IBEF's March-2025 figure of 668 MTPA; FY26 production is ICRA's. FY25 production is implied by the reported 8.6% growth [\(Source\)](#) [\(2\)](#)

Capacity is being added faster than demand. FY26 was a strong year — 8.6% volume growth and EBITDA of ₹900–950 a tonne — but 150–160 MT of new grinding capacity lands between FY25 and FY28 against demand growing 6–7% a year. ICRA already expects EBITDA per tonne to fall to **₹820–870 in FY27** on fuel and freight costs [\(Source\)](#) [\(2\)](#)

Key Players & Market Share

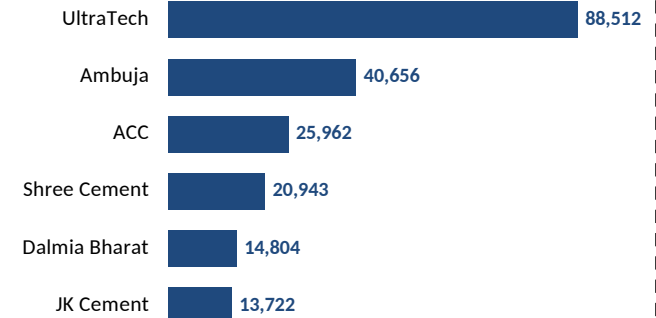
188.7

UltraTech India grey cement capacity, MTPA (Jan-26)

~118

Adani platform capacity by Mar-26, MTPA

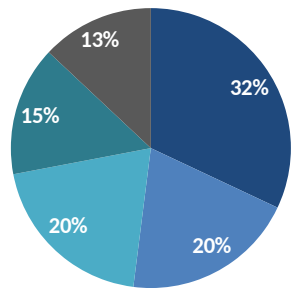
FY26 revenue (₹ Cr)



Ambuja and ACC are being merged into a single Adani platform, so their revenues will consolidate from FY27 [\(Source\)](#)

- **A duopoly is forming at the top:** the top four — UltraTech, Adani's Ambuja–ACC, Shree and Dalmia — have taken share from 48% in FY23 to about 54% by FY26 [\(Source\)](#)
- **UltraTech is roughly twice the size of its nearest rival:** 188.7 MTPA of Indian grey cement capacity in January 2026, with 22.8 MTPA under construction toward 240.8 MTPA [\(Source\)](#) [\(2\)](#)
- **Adani is consolidating four brands into one:** ACC, Orient, Sanghi and Penna fold into Ambuja, targeting 155 MTPA by FY28 and at least ₹100 a tonne of merger savings [\(Source\)](#)
- **The rest of the market is still regional:** roughly a third of capacity sits with local players who dominate single zones, which is why pricing is set regionally rather than nationally [\(Source\)](#)
- **Consolidation has paused, not ended:** both Adani and UltraTech are digesting acquisitions through the first half of 2026 rather than bidding for new assets [\(Source\)](#)

Business Model & Industry Mix



■ South ■ North ■ East ■ West ■ Central

Capacity by region. The South holds a third of capacity but the slowest demand growth, which is why it is chronically the weakest pricing market [\(Source\)](#)

Integrated plant — mine to clinker

The core asset is a captive limestone lease next to a kiln. Whoever holds the mine controls the cost base, which is why reserves rather than brands decide long-run economics. [\(Source\)](#)

Split grinding near the market

Clinker is railed to grinding units sited close to demand and blended with fly ash or slag. It cuts freight, lowers the clinker factor and is the cheapest way to add capacity. [\(Source\)](#)

Trade vs non-trade channel

Trade sales go through dealers to individual home builders at branded, premium prices; non-trade goes in bulk to infrastructure and real-estate projects at thinner margins. [\(Source\)](#)

Forward integration into concrete

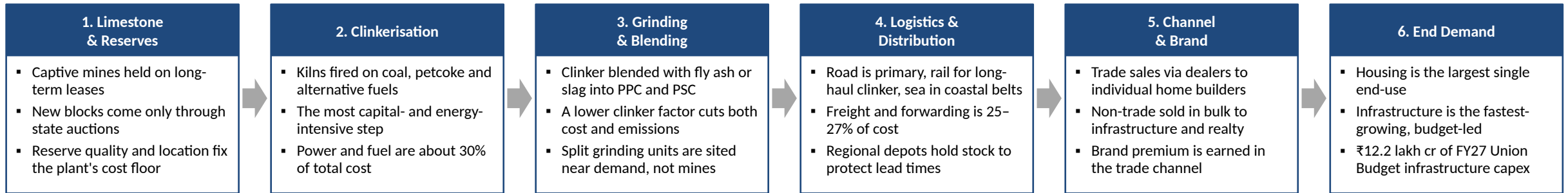
Ready-mix concrete, aggregates and building products let producers capture more of the construction rupee and defend volumes when bagged cement demand softens. [\(Source\)](#)

Cost mix: this is a business of moving heavy material cheaply. Power and fuel are about **30% of cost** and freight another **25–27%**, so more than half the cost line is energy and logistics rather than raw material [\(Source\)](#)

Demand mix: housing is the largest end-use and infrastructure the fastest-growing, underwritten by ₹12.2 lakh crore of Union Budget capex for FY27, ₹3.09 lakh crore for highways and ₹54,917 crore for rural housing [\(Source\)](#)

Cement

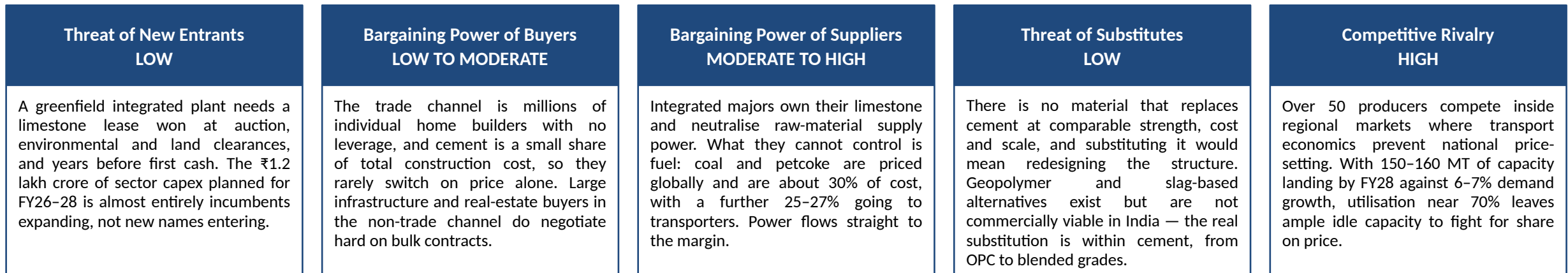
Value Chain & Supply Chain



Supply-chain reality: cement is cheap to make and expensive to move. Because more than half the cost line is energy and freight, a plant's economics are set by where it sits relative to its limestone and its market — a producer cannot ship its way out of a weak region, which is why the industry is a set of regional markets rather than one national one [\(Source\)](#)

The exposed input is imported fuel. Coal and petcoke prices are set globally, and ICRA expects power and fuel costs to rise 10–12% in FY27, cutting margins by ₹50–75 a tonne on West Asian supply disruption — a cost the industry cannot hedge and has historically struggled to pass through [\(Source\)](#) [\(2\)](#)

Porter's Five Forces



Net assessment: the structural forces are unusually favourable — no substitute, weak retail buyers, entry blocked by mining rights — and yet returns are ordinary, with ROCE of 5.6% to 15.1% across the majors. The reason is self-inflicted: the industry keeps adding capacity ahead of demand, so idle tonnes compete away the pricing power that geography hands them. Consolidation is the fix the sector has chosen, and the top four have gone from 48% to 54% of capacity — but until utilisation rises, scale buys cost advantage rather than pricing power [\(Source\)](#) [\(2\)](#)

Growth Drivers

- **Government capex is the demand floor** — ₹12.2 lakh crore of infrastructure allocation in the FY27 Union Budget, including ₹3.09 lakh crore for highways, up 8% [\(Source\)](#)
- **Housing schemes convert budget into bags** — PMAY-Gramin has ₹54,917 crore for FY26–27 and PMAY-Urban 2.0 gives ₹2.5 lakh per household, with 2.88 lakh more houses approved in February 2026 [\(Source\)](#)
- **Volume growth is running ahead of forecast** — production rose 8.6% in FY26 against ICRA's 6–7% demand estimate, and ICRA expects a further 7–8% in FY27 [\(Source\)](#)
- **Realisations have finally recovered** — prices improved ₹250–300 a tonne year-on-year in Q2 FY26, lifting EBITDA per tonne to ₹900–950 for the year [\(Source\)](#)
- **Utilisation still has headroom** — at roughly 70%, every incremental tonne sold spreads a very large fixed cost base, so operating leverage is the main earnings lever [\(Source\)](#)
- **Consolidation is lowering the cost curve** — Adani expects at least ₹100 a tonne of savings simply from merging Ambuja, ACC, Orient, Sanghi and Penna into one entity [\(Source\)](#)
- **Per-capita consumption remains low** — India takes about 8% of world capacity for 18% of world population, so the long-run demand runway is structural rather than cyclical [\(Source\)](#)

Emerging Trends

- **Carbon becomes a line item** — cement is one of the sectors covered by the Carbon Credit Trading Scheme, with emission-intensity cuts of roughly 4.7–7.6% notified and compliance beginning in 2026–27 [\(Source\)](#)
- **Blending is the cheapest decarbonisation lever** — shifting from OPC to fly-ash and slag-blended grades lowers the clinker factor, cutting both fuel cost and emissions in the same move [\(Source\)](#)
- **Producers are becoming their own power companies** — solar, waste-heat recovery and biomass are being built at plant level to insulate a cost base that is 30% energy [\(Source\)](#)
- **Grinding is moving away from the mine** — split units sited near demand shorten the freight leg, which matters more than plant scale when logistics is a quarter of cost [\(Source\)](#)
- **Premiumisation is the margin defence** — branded trade sales and value-added products are where realisation gains have come from, rather than across-the-board price rises [\(Source\)](#)
- **Consolidation is shifting from buying to integrating** — the value now sits in extracting synergies from acquired assets, with Adani targeting ₹100 a tonne from its merger alone [\(Source\)](#)
- **Capacity discipline is the open question** — with utilisation near 70% and 150–160 MT still to come, whether the majors hold price or chase volume will decide the next three years [\(Source\)](#)

Recent Investments / M&A

- **Adani is collapsing five brands into one:** ACC, Orient, Sanghi and Penna merge into Ambuja, with ACC's appointed date of 1 January 2026 and Orient's backdated to 1 May 2025 [\(Source\)](#)
- **UltraTech keeps building rather than buying:** 1.8 MTPA commissioned in January 2026 taking India capacity to 188.7 MTPA, with a further 22.8 MTPA expansion started [\(Source\)](#)
- **Shree Cement added 3.0 MTPA at Jaitaran in February 2026,** taking capacity to 65.8 MTPA, and is investing ₹7,000 crore toward 80 MTPA by FY28 [\(Source\)](#)
- **Ambuja crossed 109 MTPA in January 2026** with the Marwar grinding unit, on track for 115 MTPA by March 2026 and 155 MTPA by FY28 [\(Source\)](#)
- **The sector has committed ₹1.2 lakh crore of capex for FY26–28,** roughly 50% more than the previous three years — almost all of it brownfield expansion by incumbents [\(Source\)](#)
- **Deal-making has been deliberately paused:** Adani and UltraTech are integrating what they already bought through the first half of 2026 rather than bidding for new assets [\(Source\)](#)
- **The top ten have absorbed 140 MT over five years** at a cost of about ₹89,000 crore, which is how the market went from fragmented to top-heavy [\(Source\)](#)

Key Business Risks

- **Oversupply is the central risk** — 150–160 MT of capacity arrives by FY28 against 6–7% demand growth; utilisation near 70% already leaves plenty of idle tonnes to compete on price [\(Source\)](#)
- **Margins are already turning** — ICRA expects EBITDA per tonne to fall from ₹900–950 in FY26 to ₹820–870 in FY27 as fuel and freight costs rise 10–12% [\(Source\)](#)
- **Fuel cost is imported and unhedgeable** — West Asian supply disruption alone is expected to take ₹50–75 a tonne off margins, and coal and petcoke are priced globally [\(Source\)](#)
- **Returns do not justify the capital** — ROCE runs 5.6% at Ambuja and 7.6% at Dalmia against a cost of capital well above that, even after a strong volume year [\(Source\)](#)
- **Carbon compliance starts to cost money** — units missing their CCTS intensity targets must buy and surrender carbon credit certificates from 2026–27, a new variable cost for laggards [\(Source\)](#)
- **Pricing is regional and fragile** — the South holds a third of capacity with the slowest demand, so national averages hide chronic weakness in the largest capacity block [\(Source\)](#)
- **Integration risk is now concentrated** — Adani is merging five acquired businesses at once; the promised ₹100 a tonne of savings is a plan, not yet a result [\(Source\)](#)

Cement

Balance Sheet Snapshot

Consolidated, as at 31-Mar-2026 (₹ Cr)

Company	Net worth	Borrowings	Fixed assets	Total assets
UltraTech	76,624	23,755	98,794	1,41,315
Ambuja	59,347	866	58,263	89,574
Shree Cement	23,267	1,868	11,207	31,448
ACC	20,551	429	11,256	27,525
Dalmia Bharat	17,979	7,406	19,371	33,259
JK Cement	7,037	6,183	11,586	18,500

Balance sheets from Screener.in — [UltraTech](#) · [Ambuja](#) · [Shree](#) · [ACC](#) · [Dalmia](#) · [JK Cement](#)

- **The balance sheet is the business.** UltraTech carries ₹98,794 Cr of fixed assets plus ₹8,742 Cr of work in progress to generate ₹88,512 Cr of revenue — roughly a rupee of plant for every rupee of annual sales. ([Source](#))
- **The sector is unusually unlevered for something this capital-hungry.** Ambuja carries ₹866 Cr of borrowings against ₹59,347 Cr of net worth and ACC ₹429 Cr — the Adani entities are effectively debt-free. ([Source](#))
- **Debt sits with the expanders, not the incumbents.** Dalmia (₹7,406 Cr) and JK Cement (₹6,183 Cr) carry the most leverage relative to size, because they are building capacity from a smaller base. ([Source](#))
- **Shree Cement is a cement company with a bond portfolio attached.** ₹10,272 Cr of investments against ₹11,207 Cr of fixed assets — nearly a third of its balance sheet is financial rather than operating. ([Source](#))
- **Capacity has been bought as much as built.** The top ten have absorbed 140 MT over five years for about ₹89,000 crore, which is why goodwill and acquired assets sit heavily in these fixed-asset lines. ([Source](#))
- **₹1.2 lakh crore of committed capex still has to be funded.** With FY26 cash generation strong and leverage low, the majors can self-fund — but that spending lands into a market already running at 70% utilisation. ([Source](#))

Financial Snapshot & Valuation

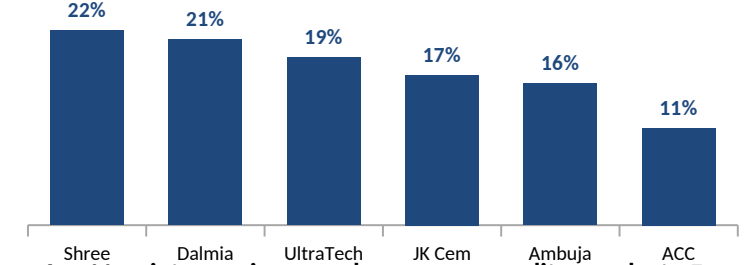
FY26 results; market data as of 31-Jul-2026

Company	Revenue (₹ Cr)	OPM	PAT (₹ Cr)	M-cap (₹ Cr)	P/E	ROCE
UltraTech	88,512	19%	8,188	3,50,757	40.7	12.7%
Ambuja	40,656	16%	5,637	1,07,394	22.8	5.6%
ACC	25,962	11%	2,137	25,490	13.4	11.2%
Shree Cement	20,943	22%	1,749	94,008	57.7	10.3%
Dalmia Bharat	14,804	21%	1,157	33,756	30.7	7.6%
JK Cement	13,722	17%	988	42,065	43.1	15.1%

All figures consolidated. Ambuja and ACC merge from FY27, so their FY26 accounts are the last on a standalone basis. Source: [Screener.in](#) company pages; merger detail from [Cemnet](#)

- **Scale and profitability have decoupled.** UltraTech is four times Shree's revenue but earns a lower operating margin, because Shree runs the leanest cost base in the industry and sells into stronger northern markets. ([Source](#))
- **ACC's 11% margin is the outlier to watch.** It is the weakest of the six despite Adani ownership, which is precisely the gap the Ambuja merger is meant to close at ₹100 a tonne. ([Source](#))
- **Returns are the sector's real problem.** Ambuja earns 5.6% ROCE and Dalmia 7.6% — below almost any reasonable cost of capital, in a year the industry describes as strong. ([Source](#))
- **Valuations are priced off capacity, not earnings.** Shree trades at 57.7x and JK Cement at 43.1x, because the market is capitalising replacement value and future volume rather than current profit. ([Source](#))
- **JK Cement is the efficiency benchmark.** 15.1% ROCE on ₹13,722 Cr of revenue — the highest return in the group, earned without the scale of the top two. ([Source](#))
- **The cycle peak may already be behind.** These results reflect ₹900–950 per tonne of EBITDA; ICRA's FY27 estimate of ₹820–870 implies roughly a 10% earnings headwind before any volume growth. ([Source](#))

Unit Economics — Margin by Producer



- **An 11-point margin spread on a commodity product.** Every producer sells the same bag at broadly the same regional price, so the gap between Shree at 22% and ACC at 11% is cost position — fuel mix, freight distance and clinker factor ([Source](#))
- **The industry earned ₹900–950 per tonne in FY26,** helped by realisations improving ₹250–300 a tonne year-on-year in the second quarter ([Source](#)) (2)
- **Ambuja's all-in cost was ₹4,400 a tonne in FY26,** rising to ₹4,500 in the fourth quarter — the cost line moved before the price line did ([Source](#))

Unit Economics — Per Tonne

What a tonne of cement earns and costs

Metric	Value
Average price (FY26)	₹345 / bag
EBITDA per tonne (FY26)	₹900–950
EBITDA per tonne (FY27E)	₹820–870
All-in cost per tonne (Ambuja)	₹4,400
Realisation gain, Q2 FY26 YoY	+₹250–300
Power & fuel (% of cost)	~30%
Freight & forwarding (% of cost)	25–27%
Production, FY26	491.4 MT
Capacity utilisation	~70%

A tonne sells for roughly ₹5,300 and costs about ₹4,400 to make and deliver, leaving ₹900–950. More than half that cost is energy and freight, so the margin is decided by fuel prices and haulage distance rather than by the customer ([Source](#)) (2) (3)